

SECOND SEMESTER

LAW OF TORTS TOPICAL COMPENDIUM 5

THE TORT OF PASSING OFF

1. INTRODUCTION

Passing off consist in deliberately acting so as to mislead persons generally into believing that one's goods are those of another, so as to take illicit and unfair advantage of the reputation of that other, thus infringing his right of property in the good will of his trade or business. In passing off the defendant presents his product as one of the plaintiff's product so as to take advantage of the plaintiff's name. In **LEATHER CLOTH CO V. AMERICAN LEATHER CLOTH CO**, the court stated: "The fundamental rule is that one man has no right to put off his good for sale as the goods of a rival trader."

2. CHARACTERISTICS OF PASSING OFF

- I. Passing off is actionable *per se*. It is not necessary for the plaintiff to prove damages.
- II. Passing off is remedied primarily by injunction and then by award of damages.
- III. There are limited defenses to the action of passing off, but the onus is on the plaintiff to prove his case.
- IV. Passing Off protects a person's business interest from the unfair trade by protecting the reputation and goodwill the business has built for itself. It does not protect a business from fair and reasonable competition.
- V. Passing off is not restricted to commercial ventures only. It is also applicable to services, arts, activities of artists and authors and non commercial ventures.

3. ELEMENTS OF PASSING OFF

- I. The Defendant must have made a misrepresentation in the course of trade.
- II. The Misrepresentation must be calculated to deceive prospective customers of the plaintiff.
- III. The plaintiff must not necessarily prove that deception has actually taken place. The plaintiff only needs to show that deception is likely to occur in the

future. If the plaintiff can show this he will be awarded an injunction. In **NIGER CHEMIST V. NIGERIAN CHEMIST**, the court held that it is not the responsibility of the plaintiff to prove that the defendant had the intention to deceive. It suffices for the plaintiff to prove that the defendant's conduct is misleading.

IV. The defendant's conduct must be a calculated attempt to injure the business and goodwill of the plaintiff.

V. A business cannot claim injuries to a reputation it does not enjoy.

4. FACTORS THAT WOULD BE TAKEN INTO CONSIDERATION BY THE COURT IN DECIDING IF THE PUBLIC IS DECEIVED

In determining whether the public would be misled, the court would examine the situation on a case by case basis. The court will take into account the following factors:

- i. Standard of literacy in the society.
- ii. The perception and Experience of the buyers.

5. ACTIONS THAT CONSTITUTE PASSING OFF

- i. **MARKETING GOODS UNDER THE PLAINTIFF'S BUSINESS NAME OR A NAME CLOSE TO IT:** This tort is committed if the defendant gives his business a name that closely resembles the name used by the plaintiff. In **NIGER CHEMIST LTD V NIGERIA CHEMIST**, the plaintiff had carried on business for many years as 'Niger Chemist Ltd,' in Onitsha. The defendant opened a chemist in on the same street as the plaintiff in Onitsha called 'Nigeria Chemist.' The plaintiff filed this suit for passing off. The court held that the plaintiff's action stood as the defendant's action was capable of misleading the public that they were the same group as the plaintiff. Similarly, in **HENDRIKS V MONTAGU**, the plaintiff did business as the 'Universal Life Assurance Society,' and the defendant established the 'Universe Life Assurance Association.' The court held that it amounted to passing off which was capable of misleading the public.

In **OGUNLENDE V. BABAYEMI** the court granted an order restraining the defendant from carrying on business as Mercury Business Nigeria Ltd because the plaintiff was carrying on business as Mercury Builders.

II. **MARKETTING A PRODUCT AS THAT OF THE PLAINTIFF**: Where a defendant presents a product as that of the plaintiff, it is action of passing off. The injurious nature of this act lies in the fact that where the defendant manufactures low quality goods, the goods would be attributed to be that of the plaintiff. In **BYRON V JOHNSON** the defendant wrote a book of poems and put the name of the plaintiff (lord Byron, a famous poet) on the title page. The plaintiff had nothing to do with the book and brought this action. It was held to amount to passing off.

III. **MARKETTING GOODS UNDER THE TRADE NAME OF THE PLAINTIFF OR A NAME SIMILAR TO THE TRADE NAME OF THE PLAINTIFF**: Certain products have registered trade names that are globally recognized. Such as Coca Cola, Stout, Panasonic, LG, Toyota, NASCO, Dangote, GLO, MTN etc. A trade name is one 'under which goods are sold or made by a certain person and which by established usage has become known to the public as indicating that they are goods of that person. The burden of proof is on the plaintiff to establish that the name in question is exclusively associated with his product and not generally used to describe that kind of product. Thus a plaintiff's action in passing off as regards a product called 'Nigerian orange juice' would fail unless he can establish by evidence that, that name is synonymous with his product and not a generic name for orange juice made in Nigeria. In the case of **BRITISH VACUUM CLEANER V. NEW VACUUM CLEANER** the court held that an action in passing off cannot lie for the use of the name vacuum cleaner as it was too generic. In **REDDAWAY V BANHAM**, the plaintiff manufactured Machine belts which were called 'Camel Hair Belting.' The defendant manufactured machine belts and called them 'Camel Hair Belting.' The court held this amounted to passing off and was calculated to mislead the public. In **BOLLINGER V COSTA BRAVA**

WINE CO LTD, the Plaintiff manufactured a drink which he called 'Spanish Champagne.' The court granted an injunction restraining the defendant from using that name on the grounds that it was capable of misleading the public.

The protection of trade names applies not only to traders and manufacturers but also to artist. In **PERRY V. TRUEFIT**, the court granted an injunction against the defendant for selling his product with the name "Medicated Mexican Balm," used by the plaintiff. In **HINNES V WINNICK** the defendant was restrained by injunction from adopting the same name for his band as the name of the plaintiff's band.

IV. **MARKETTING GOODS WITH THE TRADE MARK OF THE PLAINTIFF OR**

WITH ANY DECEPTIVE IMITATION OF SUCH MARK: A trade mark is any design, picture, mark, name or other arrangement affixed to goods which identifies those goods as that of the manufacturer or seller. It would amount to passing off for a defendant to use a trade mark identical to that of the plaintiff. However, it must be a registered trade mark- that is – the trade mark must be registered under the patent law of the respective country. In Nigeria, there is a registrar of trade marks in Abuja.

V. **IMITATING THE APPEARANCE OF THE PLAINTIFF'S GOODS:** Where the defendant imitates the packaging or wrapping of the plaintiff's goods. It is important to note that the defendant must not imitate the exact packaging of the plaintiff. It is sufficient if the defendant imitates the plaintiff's style. In **U.K. TOBACCO CO LTD V CARRERAS LTD**, the defendants marketed cigarettes called 'Barrister' in packets on which appeared a white man in a barrister's wig and gown. This was held to be an actionable imitation of the appearance of the plaintiff's cigarettes called 'Bandmaster' whose packets featured a white man in bandmaster's uniform. In addition, the imitation must not be 100%. It is sufficient if there is substantial imitation. In **DE FACTO WORKS LTD V ODUMOTAN TRADING CO LTD**, the defendants were held liable in passing off where they sold bread wrapped in yellow and brown paper with the name 'Odus' written in large scroll letters in chocolate colour. The plaintiff's bread had for years been wrapped in yellow and brown

paper with the name DE FACTO written in large chocolate coloured scroll letters. However, where the good is of such a nature that the defendant must use the exact kind of packaging used by the plaintiff it is not passing off. In **WILLIAMS V BRONNLEY**, the defendant used a packaging that was similar in size and shape to the plaintiff's packaging for his shaving stick. The court held it was not passing off as it was dictated by functional considerations.

VI. ADVERTIZING THE DEFENDANT'S PRODUCT LIKE THAT OF THE PLAINTIFF:

Advertisements which are capable of misleading the public into believing that the product of the defendant is that of the plaintiff constitute passing off. In **CADBURY SCHWEPPE'S LTD V. PUB SQUASH CO**, the court held that although the defendant's name and packaging was clearly distinct from that of the plaintiff, the way and manner in which the defendant advertised his goods on radio and television was capable of misleading the public into thinking it is that of the plaintiff.

VII. SELLING EXPIRED GOODS OF THE PLAINTIFF AS ORIGINAL STOCK:

It is a passing off for a defendant to sell inferior or expired goods/products of the plaintiff as current stock, where such has been discarded by the plaintiff. In this passing off, the defendant who has managed to lay hands on the goods, which are unfit for human consumption sell them off as current stock of the plaintiff. In *Gittette Safety Razor Co & Amor v. Franks* the court held that it is passing off to deliberately and intentionally sell old and expired goods of the plaintiff as new products. In **General Electric Co v. Pryce's Stores** The Court held that there is no passing off, when old goods/products or second hand goods are sold off as such without pretending or falsely representing that they are new ones

6. DEFENSES TO PASSING OFF

There are limited defenses to passing off. Most attempts to provide a defense to passing off are merely academic exercises. Because an act either constitutes passing off or it does not constitute it. Once the act does not constitute passing off,

the necessity of a defense is dispensed with. For instance, there is the issue of Functional Packaging. This is the argument that the plaintiff's mode of packaging is the only practical way of packaging a particular product. This happens in peculiar products such as gas which necessarily require cylinder bottles. In these cases it would be impossible to establish passing off in the first place and so the need for a defense does not arise. In **Draper v. Trist**, the court held that once it is shown that a particular modus of packaging a good is necessary, no action can lie in Passing Off.

There is also the question of Innocent Passing Off. This is not really a defense because, where a defendant pleads innocent passing off, he will still be held liable for the tort of passing off. This defense only mitigates the effect on the amount of damages that may be awarded.

However, one plausible defense to passing off, is the defense of consent. This is based on the maxim: *Voluntati Non Fit Injuria*. This may arise where a defendant has a franchise to produce a plaintiff's goods. In practice, it is doubtful that a plaintiff who consents to the defendant producing his goods or who grants the defendant franchise to produce his goods would challenge the defendant's action in court. However, where this is the case, the defense would avail the defendant.

LOOK AND LEARN

1. Mr Lee is a Chinese business man who owns a popular bakery in Shanghai, China. The bakery manufactures a famous bread called Tian, Tian Bread. This bread is so famous, it is sold in every part of China. The word Tian, Tian is a Chinese word which means sweet, sweet. But the bread is not sold outside China. In 2020, Kofi Mensah a Ghanaian, opened a bakery in Port Harcourt. He started manufacturing a biscuit called Tian Biscuit. Kofi has never heard about Mr Lee or Tian Tian Bread as he has never gone to China. In the Twi language of Ghana, Tian means Rose Flower. Mr Lee visited Port Harcourt and was shocked to see the biscuit. He plans to sue Kofi Mensah for passing Off. Advise the parties.
2. Discuss the Factors to be taken into Consideration in deciding if an act constitutes Passing Off from the perspective of developing countries and developed countries.
3. Discuss the elements of Passing Off.

4. Provide a Jurisprudential Analysis of the Issue of defenses to passing off.
5. Mr. Tola Hughes the CEO of the Other Room Hotel wants to sue Mrs. Eliza Iyan for opening a hotel directly opposite his hotel. Mrs. Eliza Iyan's hotel is called the Navy Blue Hotel. He argues that he is suing on 2 grounds:
 - Mrs Eliza Iyan's hotel entrance is directly opposite his hotel entrance.
 - In January he started offering 15% discount to newlyweds who want to do honey moon in his hotel. In February, Mrs. Eliza Iyan started offering 25% discount to newlyweds who want to do honey moon in her hotel.

Advice the parties.